CITY OF OPA-LOCKA

"The Great City"

CLERK'S ACTION SUMMARY MINUTES
SPECIAL COMMISSION MEETING
JULY 6, 2011
6:00 P.M.
City Commission Chambers
777 Sharazad Boulevard
Opa-locka, Florida 33054

1. ROLL CALL:

The City Commission of the City of Opa-locka, Miami-Dade County, Florida, met in a special session on Wednesday, July 6, 2011 at 6:00 p.m. in the City Commission Chambers, 777 Sharazad Boulevard, Opa-locka, Florida. The following members of the City Commission were present: Vice Mayor Dorothy Johnson, Commissioner Timothy Holmes and Mayor Myra L. Taylor. Also in attendance were: Interim City Manager Bryan Finnie, City Attorney Joseph S. Geller, and Assistant City Clerk Joanna Flores. Commissioner Rose Tydus arrived at 6:05 p.m. Commissioner Gail E. Miller and City Clerk Deborah S. Irby were not in attendance.

2. INVOCATION:

The Invocation was delivered by Mayor Myra L. Taylor.

3. PLEDGE OF ALLEGIANCE:

The Pledge of Allegiance was recited in unison.

4. RESOLUTIONS:

a. A RESOLUTION OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA AUTHORIZING THE USE OF RESERVE FUNDS TO PROVIDE TEMPORARY FUNDING FOR THE SHERBONDY PARK CAPITAL PROJECT; PROVIDING FOR INCORPORATION OF RECITALS; PROVIDING FOR AN EFFECTIVE DATE. *Sponsored by D.J.*

The above resolution was read by title by Attorney Geller.

It was moved by Commissioner Holmes, seconded by Vice Mayor Johnson to pass the above resolution.

Vice Mayor Johnson explained that this resolution was a result of her fact finding in which she discovered a certain amount was already used from the reserve funds for Sherbondy Park, and had not come before the Commission.

Manager Finnie mentioned that over the past year or so, it appears that reserve dollars were used to fund outstanding invoices for the Sherbondy Park Capital Project while the city waited for reimbursement from Miami-Dade County.

Vice Mayor Johnson stated that this resolution would set it where the city could get approval from Miami-Dade County with the understanding that the money would go back into the reserve and the Commission would be notified in writing. The resolution provides for a 12 month period for the money to be recovered.

There being no further discussion, the motion passed by a 3-0 vote.

Commissioner Miller	Not present
Commissioner Tydus	Not present
Commissioner Holmes	Yes
Vice Mayor Johnson	Yes
Mayor Taylor	Yes

b. A RESOLUTION OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, TO AUTHORIZE THE ISSUANCE OF A REQUEST FOR PROPOSALS (RFP) TO SOLICIT PROPOSALS FROM QUALIFIED BANKING INSTITUTIONS TO MANAGE THE FINANCIAL ASSETS OF THE CITY OF OPA-LOCKA, FLORIDA; PROVIDING FOR INCORPORATION OF RECITALS; PROVIDING FOR AN EFFECTIVE DATE. *Sponsored by D.J.*

The above resolution was read by title by Attorney Geller.

It was moved by Commissioner Holmes, seconded by Vice Mayor Johnson to pass the above resolution.

Vice Mayor Johnson said that when the Commission previously received the correspondence from staff, she didn't find anywhere in the correspondence any mention of BB&T bank. When the RFP for banking services went out, there were responses from Regions Bank and BB&T; however, she doesn't recall voting on either bank. With that in mind, she became furious when she noticed at the last commission meeting that the city had three banks. Other correspondence provided to her through public records, it became clear to here that BB&T was mentioned throughout the correspondence, but it was not very visible.

Manager Finnie thanked Vice Mayor Johnson for bringing this agenda item forward. Even though the bond program brought to the table to trustee banks as part of the transaction, but it was not highlighted. The focus was on the $6,000,000.00 of bonds and they forgot to highlight the institutions to be used to protect the city's resources; however, it was mentioned. Nevertheless, this particular resolution is very timely from a staff perspective because the city was notified last week that the city's bank of record Bank Atlantic has decided to move out of the government banking arena. The city would

have to go out very soon for an RFP to identify new institutions who would like to do business on behalf of the City of Opa-locka. This resolution supports the city's need.

Vice Mayor Johnson said she wanted to make sure the record was clear. She stated to the City Attorney that this is why she mentioned when the bond was coming through to make sure it was crystal clear. This puts the Commission in an awkward position because the banking institution is hard to find and she would not like to see this moving forward. She suggested that corrective action is taken because anyone working in Finance should know that is not how you do business on both of these issues.

Commissioner Holmes asked for clarification on US Bank.

Manager Finnie explained that US Bank is a trustee bank utilized to close out the 1994 bond issue. In refinancing the bonds, there are certain payments to be made by the end of the year. Once those payments are done, the city is finished with US Bank.

He went on to say that Vice Mayor Johnson spoke about two aspects of the city's banking relationships: the investment banking relationship and the depository banking account. Bank Atlantic is the city's depository banking account institution as approved by the Commission and they are moving out of the government banking business and as a result this item allows him to immediately conduct a competitive search for a new institution.

Mayor Taylor asked, in the meantime, BB&T holds the bond money?

Manager Finnie replied, yes.

Mayor Taylor asked, what is the time line for Bank Atlantic?

Ezekiel Orji, Finance Director for the City of Opa-locka came forward and said that the city has 60 days to find another bank.

Mayor Taylor asked, what happened to Wachovia Bank?

Dr. Orji said that Wachovia Bank was no longer serving the city. He explained the previous RFP process completed in 2007 in which the Commission selected Bank Atlantic and not Wachovia Bank.

Of concern to Vice Mayor Johnson was that the bank for the bonds was not brought back before the City Commission; however, it was integrated into the bond resolution without approval. She asked, what is the timeline to rescind that item?

Attorney Geller advised that the bond transaction had gone through; however, the city has the right to move its money. He said he would have to defer the question to Finance.

Vice Mayor Johnson informed the City Attorney that he was asked to look at the correspondence for legal sufficiency and he should have that answer. She asked that the

City Attorney get a copy of it and get back with her on the following day. The Commission did not vote for BB&T; all of that information was integrated into the legislation.

As it relates to Wachovia Bank, she recalled former Vice Mayor Terence Pinder sponsoring legislation and the Commission at that time voted to withdraw the city's account with that bank because they were not community friendly at that time. As a matter of fact, Wachovia Bank has been asking why the city doesn't consider them as the banker of choice.

She continued by requesting that former Vice Mayor Terence Pinder come forward to discuss the reasoning at that time to withdraw from Wachovia Bank.

Former Vice Mayor Terence Pinder appeared before the City Commission and recalled the discussion at that time was to move because of the interest rate; Wachovia was offering 2% and other municipalities were getting like 4 or 5% and the city was interested in that other 3% to shorten some gaps in the general fund area.

Since the Commission had not voted on BB&T, Vice Mayor Johnson directed the City Attorney to get back with Commission by July 7, 2011. This resolution would support the RFP to go out for a banking institution to replace Bank Atlantic. However, she wants to go on record that the Commission never voted on BB&T separately.

Mayor Taylor asked, when the Commission voted on BB&T was that included in the backup documentation, an assumption or was it included as a part of the financial advisor?

Manager Finnie said that it was included in the documents the Commission voted on, but the relationship was not highlighted.

Mayor Taylor directed Attorney Geller to also provide the Commission with a copy of the information requested by Vice Mayor Johnson.

There being no further discussion, the motion passed by a 4-0 vote.

Commissioner Holmes	Yes
Vice Mayor Johnson	Yes
Commissioner Tydus	Yes
Commissioner Miller	Not present
Mayor Taylor	Yes

5. ADJOURNMENT:

There being no further business to come before the City Commission, it was moved by Vice Mayor Johnson, seconded by Commissioner Holmes to adjourn the meeting at 6:15 p.m.

MAYOR

ATTEST:

CITY CLERK